

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

MARYAM ALI-GRIMALDI, *Claimant*

v.

UTRADE LOGISTICS, LLC, *Respondent*.

DOCKET NO. 2040(I)

Served: April 22, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Maryam Ali-Grimaldi (“Claimant”) submitted a Claim, along with exhibits and a timeline, that the Office of the Secretary (“OS”) received on September 4, 2025. On September 8, 2025, OS served the Claim and accompanying materials on UTrade Logistics, LLC (“Respondent”).

Claimant alleges that she contracted with Respondent, an ocean transportation intermediary (“OTI”), to transport personal effects from Pakistan to the United States. Respondent, however, allegedly failed to prepare the necessary import documentation, resulting in substantial demurrage charges that Claimant paid. Although Claimant asked Respondent to reimburse her, Respondent refused. Respondent also allegedly threatened to terminate their business relationship when Claimant asked questions about the use of her Social Security Number. Claimant alleges violations of 46 U.S.C. §§ 41102(c), 41104(a)(2), (3), and 41104(a)(14), and seeks reparations of \$1,197. (*See generally* Claim).

On October 3, 2025, Respondent sent an email to the Office of Administrative Law Judges, which I shall treat as an Answer. In short, Respondent alleges that Respondent never entered into any arrangements with Claimant, that Respondent never issued an invoice for any services to Claimant, and that Respondent had no control over the shipment. Respondent asserts that Claimant’s claim is false and should be dismissed, and maintains that it may take enforcement action against Claimant. (*See generally* Answer).

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

Upon reviewing the facts of this case, as well as the relevant law, all of Claimant's claims are **DENIED** and **DISMISSED**. Claimant has not carried her burden of showing that Respondent acted as a regulated entity in relation to the shipment at issue.

II. BACKGROUND

Claimant Maryam Ali-Grimaldi ("Claimant") submitted a Claim, along with exhibits and a timeline, that the Office of the Secretary ("OS") received on September 4, 2025. On September 8, 2025, OS served the Claim and accompanying materials on UTrade Logistics, LLC ("Respondent").

Claimant alleges that she contracted with Respondent, an OTI, to transport a container of personal effects from Pakistan to the United States. Respondent, however, allegedly failed to prepare the necessary import documentation, resulting in substantial demurrage charges that Claimant paid. Although Claimant asked Respondent to reimburse her, Respondent refused. Respondent also allegedly threatened to terminate their business relationship when Claimant asked questions about the use of her Social Security Number. Claimant alleges violations of 46 U.S.C. §§ 41102(c), 41104(a)(2), (3), and 41104(a)(14), and seeks reparations of \$1,197. (*See generally* Claim).

On October 3, 2025, Respondent sent an email that I treat as an Answer. In short, Respondent alleges that Respondent and Claimant never entered into any arrangements, that Respondent never issued an invoice for any services to Claimant, and that Respondent had no control over the shipment. (*See generally* Answer).

On March 25, 2026, I was appointed to serve as the Small Claims Officer for this proceeding.

Also on March 25, 2026, I issued an Order Requesting Additional Information (the "March 25 Order"). The March 25 Order required the parties to provide additional information necessary to issue a decision in this matter. I required the parties to respond to the March 25 Order no later than April 4, 2026, and the parties to reply to the other party's responses no later than April 18, 2026.

On April 3, 2026, Claimant responded to the March 25 Order ("Claimant's RFI Responses"). On April 4, 2026, Respondent responded to the March 25 Order ("Respondent's RFI Responses").

On April 18, 2026, the Claimant and Respondent replied each other's responses to the March 25 Order (respectively, "Claimant's RFI Replies" and "Respondent's RFI Replies").

I reviewed the record, including the information submitted in Claimant's RFI Responses, Respondent's RFI Responses, Claimant's RFI Replies, and Respondent's RFI Replies.

III. FINDINGS OF FACT

1. Respondent is registered with the Commission as an NVOCC. (<https://www2.fmc.gov/oti/>).

2. There is an invoice dated March 20, 2025, on Broadpeak Shipping & Logistics (Pvt) Ltd. letterhead. It shows an email address ending in broadpeak-group.com. The invoice shows MBL HLCUKHI250328622, with transportation from the Port of Loading, Muhammad Bin Qasim, to the Port of Discharge, New York, NY, and the place of delivery, Newark, NJ. The commodity identified is personal effects. Itemized charges include freight charges, which is the largest single item, as well as customs clearance at origin and destination, local and United States trucking charges, and destination terminal handling. (See CX001).
3. The record includes a portion of a draft Bill of Lading (“BIL”) No. HLCUKHI250328622 with Hapag-Lloyd letterhead for the transportation of container HLXU1416530 from Pakistan to the United States. The Claimant is identified as the shipper, the consignee, and the notify party. The draft BIL also has an email ending in broadpeak-group.com under the headings for shipper, consignee, and notify party. The draft BIL states that the container was shipped on board on April 4, 2025. (See CX004).
4. The record contains a portion of Sea Waybill No. HLCUKHI250328622 with Hapag-Lloyd letterhead for the transportation of container HLXU1416530 from Pakistan to the United States. The Claimant is identified as the shipper, the consignee, and the notify party. The Sea Waybill, which is dated April 4, 2025, also has an email ending in broadpeak-group.com under the headings for shipper, consignee, and notify party. (See CX005).
5. The record contains several emails on April 28, 2025, between Claimant and an employee of Respondent. In general, Respondent’s employee asked Claimant to fill out a POA form in order to avoid a fine from CPB.² (See CX006-CX014). Among other things, Respondent specifically asked for Claimant’s Social Security Number to fill out an ISF.³ (CX006). Claimant’s husband, Mr. Grimaldi, asked Respondent to provide its broker license number before he provided Claimant’s Social Security Number. (CX009). Respondent provided the information, and Mr. Grimaldi responded by providing Claimant’s Social Security Number. (CX009-CX011).
6. Emails from Respondent’s employees generally identify the name of Respondent’s company, UTrade Logistics, the employee’s title (e.g., customs broker and logistics; operations executive; accountant), two Canadian and one Pakistani office, and sometimes include an FMC license number. (See, e.g., CX009-CX010; CX020-CX022; CX043; CX046).
7. On May 3, 2025, Respondent’s employee sent an email to Claimant, asking for an updated POA form with a Social Security Number. Claimant responded stating that was the only POA form she had, and she does not have another copy. (CX015, CX018).
8. On May 5, 2025, at 9:41 a.m., Respondent’s employee emailed a link to the POA form to Claimant, asking her to fill it out again with her Social Security Number. (CX017-CX018).

² I understand CBP to reference U.S. Customs and Border Patrol.

³ I understand the ISF reference to be an Importer Security Filing, which is a filing required for cargo arriving by vessel. (19 C.F.R. § 149.2).

9. On May 5, 2025, at 10:17 a.m., Claimant emailed Respondent and Broadpeak, and asked for a PDF copy of the POA form so that she could have it notarized herself and avoid a \$25 fee. (CX017). Claimant wrote that Respondent should “stop extorting going forward. It is not acceptable to keep adding cost to your customers.” Claimant added that none of these additional costs were in the original budget. (CX017).
10. On May 5, 2025, at 10:23 a.m., Respondent’s employee replied to Claimant, copying Broadpeak, stating: “We understand your concern but the problem is we need SSN must be shown on legal documents otherwise Customs will not allow release for your shipment.” (CX017).
11. Claimant emailed Respondent at 10:25 a.m. on May 5, 2025, copying Broadpeak, stating: “Send me a pdf or Word copy of the POA. I will get you back a notarized copy with the SSN. I don't need to use your vendor for notary.” (CX019).
12. At 5:13 p.m., on May 5, 2025, Respondent’s employee emailed Claimant, copying Broadpeak, stating: “you need to re-do ITN.” (CX019-CX020)
13. On May 5, 2025, at 6:36 p.m., Mr. Grimaldi sent the following note to Respondent, copying Broadpeak:

I’d like to clarify the current situation:

You are requesting that Maryam submit a newly notarized Power of Attorney (PoA) document including her SSN. She is more than willing to do so, provided that you supply us with a blank PoA form, which we will have notarized locally by our preferred notary.

Please note that notarizing a document in the United States is a legal act that may be completed by any licensed notary public acting within their jurisdiction. There is no legal obligation to use a particular vendor, and U.S. law recognizes notarizations as valid if they comply with the notary laws of the state in which they are performed. Accordingly, we will not pay a second \$25 fee to use your preferred notary.

The need for a second notarized PoA has only arisen because you did not provide your broker license number or proof of registration in the appropriate Canadian/U.S. CBP freight forwarder databases until after the initial PoA was due. Had this information been provided when first requested, this issue would not have occurred. It is not a common practice in the U.S. to hand out SSNs without formal verification, so that is why we insisted on having that information from you.

Moving forward, we ask that you communicate with us well in advance of any deadlines so that we have adequate time to respond. If there are any additional costs beyond the payment we made to move the goods from Pakistan, please provide an official invoice detailing those charges.

Please understand that vague, brief emails are slowing down the process for all parties involved. Moving forward, if you need something from us, please accurately explain what you need and why. We will then gladly get that information to you.

(CX020).

14. At 6:46 p.m. on May 5, 2025, Respondent's employee emailed Claimant and Mr. Grimaldi, copying Broadpeak, stating: "Sir all the process are legally correct and as per requirements of USA LAW if you are not willing to proceed it's ok you will do customs clearance at your own. We will deliver your cargo at your curbs side location." (CX020-CX021).
15. At 7:22 p.m. on May 5, 2025, Mr. Grimaldi emailed Respondent, copying Broadpeak, stating: "Yes, and so we are more than willing to provide you with another notarized copy of the PoA. As we've said before, please send us a blank PoA document in PDF format. We will notarize it and provide you with a PDF scan in 24 hours." (CX021).
16. At 7:36 p.m. on May 5, 2025, Respondent's employee emailed Claimant and Mr. Grimaldi, copying Broadpeak, stating: "Please hire a customs broker also." (CX021-CX022).
17. On May 5, 2025, at 7:42 p.m., Mr. Grimaldi emailed Respondent, copying Broadpeak, stating: "Sharjeel, are you stating that your company will no longer serve as the customs broker, simply because we are asking for a PDF copy of the PoA? Please state this specifically if that is your intent." (CX022).
18. On May 5, 2025, at 8:05 p.m., Respondent's employee emailed Claimant and Mr. Grimaldi, copying Broadpeak, stating: "Yes we can't clear goods if there is a trust issue, we don't need you SSN you can clear this goods without me you don't need me for this." (CX022-CX023).
19. On May 5, 2025, at 8:23 p.m., Claimant emailed Broadpeak's employee and Mr. Grimaldi, asking that since Respondent was unwilling to work with Claimant, "kindly advise us about the status of our shipment since BroadPeak was the company we entrusted the work to." (CX099).
20. Broadpeak's employee responded to Claimant and Mr. Grimaldi on May 6, 2025, at 2:43 a.m., stating that: "I would request you to kindly coordinate to sort out issue as the shipment is due to arrive by tomorrow and changing broker at this particular time will create issues at both end with additional cost of detention and demurrages." (CX099-CX100). In subsequent emails early that morning between Claimant and Mr. Grimaldi on the one hand, and Broadpeak's employee on the other, Broadpeak's employee urged Claimant and Mr. Grimaldi to attempt to work with Respondent despite their hesitation. (CX100-CX101).
21. Mr. Grimaldi emailed Respondent, copying Broadpeak, on May 6, 2025, at 8:18 a.m., stating that an employee of Broadpeak vouched for Respondent, and that: "Considering we have already paid for your services, and despite the difficulties we've had thus far, we will take Mr. Rohait's advice and ask you to proceed. You will receive the corrected PoA shortly. Please clear the goods and deliver the shipment per our agreement." (CX023). Claimant sent a copy of a POA form a few minutes later. (CX023; *see also* CX088-CX093).

22. Respondent's employee emailed Claimant and Mr. Grimaldi, and copying Broadpeak, at 9:55 a.m. on May 6, 2025, stating: "please arrange Customs clearance for this shipment." (CX023).
23. Claimant emailed Respondent, copying Broadpeak, on May 6, 2025, at 10:03 a.m., asking whom the last email was directed towards. (CX024-CX025).
24. At 1:47 p.m. on May 6, 2025, Respondent's employee emailed Claimant and Mr. Grimaldi, copying Broadpeak, stating:
- Kindly arrange the customs clearance for your shipment yourself, as the estimated time of arrival (ETA) is 05/13.
- Please also note that we will not be responsible for any demurrage or detention charges, and we will not proceed with the release of your shipment, as payment has not yet been received in our Karachi office.
- (CX025).
25. At 1:53 p.m. on May 6, 2025, Claimant forwarded the email described in paragraph 24 to an employee of Broadpeak as well as Mr. Grimaldi, asking what payment is being referenced as Claimant already paid Broadpeak, and also asking for guidance. (CX101-CX103).
26. On May 7, 2025, at 2:14 a.m., an employee of Broadpeak emailed Respondent, copying Claimant and Mr. Grimaldi stating that: "Payment is not an issue, if payment is the issue then please let us know. We have communication with Ms. Maryam and she has accepted to proceed with your guidance so shipment is due to dock and we should avoid misunderstanding at this point of time." (CX025-CX026).
27. At 2:59 a.m., on May 7, 2025, Broadpeak's employee emailed Claimant and Mr. Grimaldi stating: "We assure you that your dues are clear and we are responsible for release of your shipment." The email continued that Broadpeak is trying to sort out the issue with the customs broker: "If it is unsorted, we will nominate another agent to do the required job." (CX103-CX104).
28. On May 7, 2025, at 5:06 p.m., an employee of Respondent emailed Claimant, and Mr. Grimaldi, copying Broadpeak, telling Claimant to arrange custom clearance and to advise Respondent so that Respondent can arrange pickup and delivery. (CX026).
29. On May 7, 2025, at 5:28 p.m., Claimant emailed Respondent, copying Broadpeak, asking what she needed to do to clear customs. Claimant also stated that Broadpeak confirmed that payment was made in full and received, and that Claimant understood that the payment included customs clearance. (CX027).
30. At an unknown time, but presumably around 5:30 p.m. on May 7, 2025, Respondent's employee emailed Claimant, copying Mr. Grimaldi and Broadpeak, stating that she needs: "to do customs clearance with your own we can only do trucking for you." (CX027).

31. At 5:46 p.m., on May 7, 2025, Mr. Grimaldi emailed Respondent, copying Claimant and Broadpeak, with a copy of the invoice that was paid in full, and noting that Claimant and Mr. Grimaldi thought that the customs clearance charge was already paid. (CX030).
32. On May 7, 2025, at 6:00 p.m., Respondent's employee emailed Mr. Grimaldi, Claimant and Broadpeak, stating: "I told you please arrange customs clearance at your end and we already reject acceptance your customs clearance." (CX030-CX031). Respondent sent another email to Claimant, Mr. Grimaldi and Broadpeak, at 6:04 p.m., stating: "Please contact Karachi, we already reject your cargo for customs clearance." (CX037).
33. On May 7, 2025, and May 8, 2025, Mr. Grimaldi, Claimant and Broadpeak's employee had an email exchange. (CX104-CX105). In it, Mr. Grimaldi asked if Broadpeak found another customs broker. (CX105). Broadpeak's employee responded stating that he spoke with Respondent's employee, and asked Claimant and Mr. Grimaldi to continue to work with Respondent. (CX105-CX106).
34. The record contains an Arrival Notice for container HLXU1416530, indicating it was due to arrive on May 8, 2025. (See CX097).
35. On May 9, 2025, at 6:01 a.m., Claimant emailed Broadpeak's employee and Mr. Grimaldi. Claimant thanked Broadpeak for guidance, and shared documents with Broadpeak in case a backup customs broker was needed. (CX106).
36. On May 9, 2026, at 7:59 a.m., Respondent's employee emailed a copy of the arrival notice and BIL to Broadpeak, Claimant, and Mr. Grimaldi, and noted that the ETA was May 13, 2025. (CX043-CX044).
37. The record has a text exchange on May 9, 2025, between Claimant and an employee for Broadpeak. The exchange began at 8:52 a.m., and lasted until 6:33 p.m. Among other things, Claimant asked if she needed her own customs broker. The Broadpeak employee responded that he would reach out to Respondent's employee about agreeing to help Claimant. Broadpeak's employee reported back that Respondent would help. In addition, Claimant and Broadpeak's employee discussed various additional costs Claimant would need to pay to complete the move. (CX077-CX080).
38. On May 12, 2025, an employee at Broadpeak emailed Claimant, Mr. Grimaldi, and Respondent stating that: "We have agreed on the terms and conditions of the shipment. Utrade INC. has already filed declaration as per the indication by Ms. Maryam on Saturday. We have initiated the clearance process on the subject shipment." The email added that Broadpeak would send an invoice for duty/taxes, and other amounts. Finally, the email instructed Claimant to arrange for labor at curbside. (CX044). Claimant responded that labor would be available on May 14, 2025. (CX044). Broadpeak then asked Respondent if it could confirm trucking to the destination. (CX044-CX045).
39. On May 12, 2025, at 5:05 p.m., Respondent's employee emailed Claimant, Mr. Grimaldi, and Broadpeak stating: "Please note we didn't receive payment yet, Even your freight is not prepaid in Karachi please note shipment LFD is 05/14 and the demurrage / detention of the shipping line and port will be bear by you we are not responsible for it." (CX045).

40. At 5:15 p.m., on May 12, 2025, Claimant emailed Broadpeak and Mr. Grimaldi, stating: “UTrade keeps stating we haven’t paid and we have to pay fines. I don’t understand why he is telling me this as we paid Broadpeak in full.” Claimant asked Broadpeak to take care of this. Claimant also noted that she would not be responsible for any fines caused by the misalignment of Broadpeak and Respondent. (CX046).
41. The record contains a text exchange between Claimant and Broadpeak’s employee from 6:22 p.m. through 7:37 p.m. on May 12, 2025. (CX081). Broadpeak’s employee asked Claimant if she paid the invoice from Respondent, to which Claimant responded that she did not receive an invoice. (CX081).
42. On May 13, 2025, at 6:48 a.m., Respondent’s employee emailed Claimant, Mr. Grimaldi, and Broadpeak with an invoice, asking: “kindly provide payment status at your earliest.” (CX046-CX047; *see also* CX095). Claimant confirmed payment at 9:47 a.m. (CX047). The record has a wire transfer request showing payment of \$713, a total collected amount of \$748, and Respondent as the beneficiary. (CX049-CX050; *see also* CX096). There was a subsequent email exchange regarding transaction fees, however. (CX054-CX056). In addition, in a text exchange between Claimant and Broadpeak’s employee, as on May 13, 2025, Claimant complained about Respondent’s “urgent” requests, and stated: “I am giving you this feedback since I understand that you have been associated with UTrade for over 10 years.” (CX081-CX082).
43. On May 13, 2025, in the evening, Claimant emailed Mr. Grimaldi, Respondent, and Broadpeak, asking for delivery time on May 14, 2025. (CX053-CX054). Respondent wrote back a few minutes later indicating that Sigma Trucking (“ST”) would deliver the container between 7:00 a.m. and 9:00 a.m. the next morning. (CX054).
44. At 2:06 p.m. on May 14, 2025, Claimant emailed Mr. Grimaldi, Respondent, and Broadpeak, including a text message from ST indicating that the container still has holds. (CX056-CX059). A few minutes later, Claimant sent a text message to Broadpeak’s employee about the same. (CX084). Respondent responded within the hour indicating that they were asking the Karachi office for a release. (CX060).
45. On May 15, 2025, at 6:30 a.m., Mr. Grimaldi emailed Claimant, Respondent, and Broadpeak, asking for a status update. (CX061). Respondent responded within the hour indicating that a telex release is still pending. (CX061-CX062). Claimant replied within the hour asking what a telex release is, and who needs to release it. (CX062). Broadpeak responded a few minutes later stating: “The payment is made to UTRADE and telex will be applied and a copy will be sent tomorrow. After this, the cargo will be open to delivery.” (CX063). Respondent also responded: “After telex release the cargo will be released for delivery without physical original BIL.” (CX063-CX064).
46. At 10:22 a.m. on May 15, 2025, Claimant emailed Mr. Grimaldi, Broadpeak and Respondent noting that ST indicated that May 15 was the LFD, asked for the container to be released as soon as possible, and stating that she will not be liable for any delays. (CX065-CX066). At noon the same day, Claimant sent another email to the same recipients, and attached

exchange with ST where the carrier said there is still a hold, possibly related to duties. (CX066-CX068).

47. On May 15, 2025, Respondent sent two emails in the early afternoon, both to Claimant, Mr. Grimaldi, and Broadpeak. (CX069-CX070). The first email from Respondent asked Broadpeak to help. (CX069). The second email indicated that Respondent's part was finished, and instructed Mr. Grimaldi to contact Broadpeak for the telex and about any demurrage. (CX070). On May 16, 2025, at 2:33 a.m., Broadpeak emailed Respondent, Claimant and Mr. Grimaldi asking Respondent to "[k]indly arrange telex and release the shipment." (CX070).
48. The record contains an image of a payment from Broadpeak to Respondent dated May 15, 2025; it is attached to a text exchange involving Claimant and an unknown party. (CX094).
49. On May 16, 2025, at 10:19 a.m., Claimant emailed Respondent, Broadpeak, and Mr. Grimaldi, asking for an update. (CX070-CX072). A few minutes later, Respondent responded to the group stating: "We applied released today it took 48 hrs to get released this was already informed to [Broadpeak] long time ago." (CX072).
50. The record contains an email exchange between Claimant and ST dated May 16, 2025, from 2:09 p.m. through 3:20 p.m., regarding paying \$218 in demurrage. (CX107-CX108). The payment was complete at 3:24 p.m., however, ST's employee informed Claimant that the hold needed to be cleared on Claimant's end. (CX108-CX109).
51. The record contains a text exchange dated May 16, 2025, between Mr. Grimaldi and an employee of Broadpeak between 4:50 p.m. and 5:51 p.m., in which Mr. Grimaldi says that the carrier, Hapag Lloyd ("HL"), needs the physical BIL. (CX073-CX074). Ultimately, Broadpeak's employee indicated that a telex is needed, which takes time to process, that Broadpeak has been working with HL on having the container released, and will apply for demurrage to be cut. (CX073-CX076; CX085-CX087).
52. The record contains several emails dated May 19,⁴ 2025, between Mr. Grimaldi, HL, ST, and Respondent regarding the ground transportation of the container to its destination. (CX139-CX143; CX146-CX158; CX193-CX217). The exact chronology of emails is challenging to follow: some of the times are cut-off; in addition, it appears that the time stamps for the emails are in different time zones, and the time zones are not identified. Nevertheless, it appears that the telex release was obtained, demurrage was paid, and the parties involved planned to have the container moved from the port to a storage garage on May 19. HL would not allow the container to be moved until it was confirmed that the storage garage had the appropriate unloading facilities, which was not confirmed until the late afternoon. (*Id.*).

⁴ There are some emails in the record that are dated May 20, 2025, shortly after midnight, that are identical to other emails dated May 19, 2025, in the afternoon. I am treating these emails from May 20, 2025, sent shortly after midnight, as being emails dated May 19, 2025.

53. The record has a receipt dated May 20, 2025, on Maher Terminals letterhead showing payment of \$654 for demurrage from May 17, 2025, through May 19, 2025, for reference no. HLCUKHI250328622. (*See* CX175; CX177; *see also* CX170-CX171).
54. On May 20, 2025, at 8:04 a.m., Mr. Grimaldi emailed Respondent and ST, and asked for confirmation that the container would be moved that day. (CX158; CX217).
55. At 8:48 a.m. on May 20, 2025, an employee of Respondent emailed ST and Mr. Grimaldi, and asked ST to have the container delivered. (CX158-CX159; CX217-CX218). At 9:04 a.m., Respondent's employee asked in an email to have HL deliver the container. (CX159; CX218).
56. At 9:16 a.m. on May 20, 2025, an employee of ST emailed Respondent and Mr. Grimaldi, stating: "Please see the attached photo. Yesterday, you informed me not to pick up this container, but today you're asking me to arrange the delivery. Could you please clarify what's going on?" The employee of ST included an email from May 19, 2025, from an employee of Respondent to ST stating: "Please disregard this shipment. Hapag is doing delivery for this shipment." (CX160-CX161).
57. At 9:26 a.m. on May 20, 2025, an employee of Respondent emailed ST and Mr. Grimaldi, stating: "Sorry for inconvenience, Hapag is arranging the delivery." (CX161; CX219-CX220).
58. At 9:30 a.m. on May 20, 2025, Mr. Grimaldi emailed ST and Respondent stating:
- This confusion about who is delivering the package needs to be resolved ASAP. I have paid for labor who are there at the facility awaiting the shipment. Every hour of delay is costing me money, and I have already incurred demurrage charges. Since I have not heard from Hapag, but I have heard from Sigma Trucking, I would prefer that Sigma Trucking makes the delivery. Please coordinate this with Peter so that my people can receive the shipment today."
- (CX161; CX220).
59. At 10:52 a.m. on May 20, 2025, an employee of ST emailed Respondent and Mr. Grimaldi showing a screenshot from Maher Terminal, stating that the container is on demurrage, and that it can be picked up after demurrage is cleared. (CX124-CX126).
60. The record has a receipt dated May 20, 2025, on Maher Terminals letterhead showing payment of \$285 for demurrage from May 20, 2025, for reference no. HLCUKHI250328622. (*See* CX176; CX178; *see also* CX173-CX174).
61. The record contains an email exchange dated May 21, 2025, between Mr. Grimaldi, Respondent's employee, and HL. (CX163-CX164). In short, Respondent told HL that the container was already picked up. HL responded that Respondent would be billed \$400. (CX163).

62. The record contains an email exchange on May 22, 2025, between an employee of ST and Mr. Grimaldi. In brief, the ST employee asked Mr. Grimaldi to pay storage charges of \$258, and Mr. Grimaldi agreed. (CX221-CX223).

63. The record has an undated receipt showing payment of \$258 with the statement: Maher Terminal Storage. (See CX172).

64. At 9:27 a.m. on May 27, 2025, an ST employee emailed Mr. Grimaldi stating that it invoiced Respondent \$860, which included a fee of \$150; while Respondent agreed to pay \$680, it expected that ST would collect \$150 from Mr. Grimaldi. (CX223-CX224).

65. At 9:34 a.m. on May 27, 2025, Mr. Grimaldi emailed Claimant, Respondent, and ST stating:

Please note that we will not be paying any additional charges, TONU or otherwise. The mix up with the truck was not our fault. UTrade apparently contracted out to Hapag and then engaged your company to do the delivery. Hapag confirmed this via email last week. We have already incurred almost \$1200 in demurrage due to the imprecise coordination between UTrade and Broadpeak. Any additional charges need to be paid by Utrade/Broadpeak.

(CX224; CX226).

66. At 10:04 a.m. on May 27, 2025, an employee of Respondent emailed Claimant, Mr. Grimaldi and ST stating:

You are not our client we are only arranging customs clearance and delivery in USA which we did, the delay due to non-availability of telex from your origin side which cause delay in released, for your information I already rejected your shipment that we are not handling this any more as we forecasting it going to be complicated but on continuous request we agree to help you people Secondly we category ask Sigma that container is ready for pickup, its a sole responsibility of trucker to check planed pickup after getting 100% confirmation that goods are ready for pickup.

Anyhow we already paid Sigma there agreed invoice today

(CX228-CX229).

67. At 10:08 a.m. on May 27, 2025, an employee of ST emailed Respondent, Claimant, and Mr. Grimaldi stating: "We have not yet received any payment from your end. Could you please confirm when the payment was made and forward us the payment remittance for our records? Additionally, we kindly request that the full outstanding amount of \$860 be settled at your earliest convenience." (CX231-CX232).

68. On May 27, 2025, at an unclear time, Respondent's employee emailed ST and Mr. Grimaldi, and stated: "We paid through chase bank, we cant approved TONU charges as discussed earlier." (CX230-CX231).

69. Claimant submitted a sworn statement in which she stated that her uncle contacted Broadpeak for the end-to-end shipment of Claimant's household goods, including origin handling, ocean transportation, United States customs clearance, and final delivery to the receiving facility in the United States. (Claimant's RFI Responses, at 12⁵). In addition, among other things, when Respondent threatened to stop working for Claimant, Broadpeak's employee intervened and spoke to Respondent's principal to resolve the matter. (Claimant's RFI Responses, at 13-14).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, "a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act." (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502 (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)).

B. Regulated Entity

Claimant alleges that Respondent, a registered OTI, violated 46 U.S.C. §§ 41102(c), 41104(a)(2), (3), and 41104(a)(14). (*See* Claim). All of these sections require conduct by a regulated entity, either a common carrier, marine terminal operator ("MTO"), or an ocean transportation intermediary ("OTI"). In particular, section 41102(c) provides that "[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." (46 U.S.C. § 41102(c)). Likewise, section 41104(a) begins with the phrase: "A common carrier, either alone or in conjunction with any other person, directly or indirectly shall not. . . ." (46 U.S.C. § 41104(a)).

The term OTI means either an NVOCC or an ocean freight forwarder. (46 U.S.C. § 40102(20)).⁶ Claimant points out that Respondent is a registered NVOCC, and asserts that as a basis for jurisdiction. (Claim, at 1; Findings of Fact ("FOF"), ¶ 1).

It is not enough, however, for a respondent to be registered with the Commission as an OTI for the Commission to have jurisdiction. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not an MTO as to a dispute arising out of the city's fish dock); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12

⁵ Claimant's RFI Responses lacks page numbers. I reference the PDF page.

⁶ Claimant does not allege that Respondent was acting as an ocean freight forwarder ("OFF"). Even if Claimant did allege Respondent was an OFF, an OFF dispatches cargo from the United States. (46 U.S.C. § 40102(19)). The cargo here was imported from Pakistan. (*See, e.g.,* Findings of Fact, ¶¶ 2-4). Therefore, Claimant was not acting as an OFF.

(FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”)). Claims against non-regulated entities are appropriately dismissed. (*TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (Notice Not to Review, July 3, 2025)).

An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)). A shipper is a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or an NVOCC that accepts responsibility for payment of all charges applicable under the tariff or service contract. (46 U.S.C § 40102(23)).

In *Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission’s Regulations* at 46 C.F.R. 515.13, 515.21, and 520.3, Dkt. No. 06-01, 2012 WL 11914713 (FMC, Mar. 15, 2012) (“*Worldwide Relocations*”), the Commission discussed whether several entities that were not licensed or bonded as NVOCCs had acted like NVOCCs. Among other things, the Commission noted that whether an entity acts as an NVOCC is a “fact intensive inquiry[,]” that documentary labels alone are not determinative, and that the resolution of this question requires an examination of each entity’s conduct on a particular shipment. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted)). The Commission then addressed the statutory elements of the definition of “common carrier,” noting that the first element is whether the entity holds itself out as a common carrier, the second is whether the entity assumes responsibility for transportation, and third is the use of a vessel. (*Id.*, at *6-*8). The Commission noted that the final element is usually straightforward, and often not in issue. (*Id.* at *8). As for “holding out,” the Commission noted that facts to consider include, among other things, the entity’s advertisements, as well as whether it has a tariff. (*Id.*, at *6). In considering the “assumes responsibility” factor, the Commission looked to, among other things, the description of an NVOCC’s services in the Commission’s regulations. (*Id.*, at *8 (citing 46 C.F.R. § 515.2)). As an example, the Commission stated that if a bill of lading clearly identifies the proprietary shipper, it could result in a finding that the respondent entity did not assume responsibility for the shipment in question. (*Id.*, at *9).

The Commission’s regulations identify services that are usually provided by an NVOCC:

(k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

(46 C.F.R. § 515.2(k)).

I address whether the facts here meet the three elements of the definition of “common carrier” found in section 40102(7). I analyze the third element first because it is the most straightforward: “uses, for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a part in a foreign country” (46 U.S.C. § 40102(7)(A)(iii)). The Sea Waybill shows that the Claimant’s cargo was shipped by vessel from a port in Pakistan to a port in the United States. (FOF, ¶ 4). Therefore, this element is met.

The first element is whether Respondent “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation[.]” (46 U.S.C. § 40102(7)(A)(i)). I find that this element is also satisfied. There is no question Respondent is a registered NVOCC. (FOF, ¶ 1). Further, Respondent’s name has the words “trade” and “logistics,” it advertises offices in Canada and Pakistan, and has employees that perform customs clearance, logistics, and operations. (FOF, ¶ 6; *see also Worldwide Relocations*, 2012 WL 11914713, at *8 (stating that based on an entity’s advertising,

the ALJ can make assumptions about what an entity does)). Although the evidence is not overwhelming, it appears more likely than not that Respondent holds itself out to provide transportation by water of cargo to another country for compensation.

The last element I analyze is whether Respondent “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” (46 U.S.C. § 40102(7)(A)(i)).

Reviewing the record, it appears from the record that Respondent did not assume responsibility for the transportation of the cargo, but instead acted as a destination agent. It appears from the record that Respondent essentially had three jobs. First, Respondent was to perform customs clearance. (*See, e.g.*, FOF, ¶¶ 5, 37-38). Second, Respondent was to assist in arranging for the release of the cargo after it arrived in the United States, including helping to procure a telex release. (FOF, ¶¶ 45, 47, 49, 51-52). And third, Respondent was to arrange for ground transportation from the port to Claimant’s storage garage. (FOF, ¶¶ 14, 28, 30, 38, 43, 52).

While Respondent “assumed responsibility” for that portion of the transportation that occurred within the United States, Respondent did not assume responsibility for the transportation of Claimant’s cargo from “the port or point of receipt to the port or point of destination.” The Sea Waybill shows that the Port of Loading was Muhammad Bin Qasim, whereas the Port of Discharge was New York. (FOF, ¶ 4). There is no evidence in the record of Respondent being responsible for, or in any way arranging, the transportation of the cargo before it arrived in the United States.

In contrast, Claimant’s sworn statement expressly acknowledges that Broadpeak was responsible for moving the cargo before it arrived in the United States. (FOF, ¶ 69). Indeed, when Respondent threatened to not act as the customs clearance agent, Claimant emailed Broadpeak, and wrote: “kindly advise us about the status of our shipment since BroadPeak was the company we entrusted the work to.” (FOF, ¶ 19). Further, during the correspondence between Claimant and her husband with Broadpeak about Respondent’s repudiation, both Claimant and her husband, as well as Broadpeak’s employee, expressly referred to Respondent as a customs clearance agent, or described Respondent’s duties as including customs clearance. (FOF, ¶¶ 19-21, 27, 33, 35, 37). Moreover, Broadpeak’s employee urged Claimant to continue to work with Respondent despite the troubles between them, and assured Claimant that another customs clearance agent would be employed if needed. (FOF, ¶¶ 20, 27, 33, 35, 37).

Claimant argues that Respondent acted as an OTI for the transportation at issue. Claimant points out that Respondent is registered as an NVOCC. (Claim, at 1; FOF, ¶ 1). Beyond that, Claimant argues that: 1) Respondent requested a POA from Claimant, 2) Claimant communicated with Respondent regarding customs-related issues; 3) Respondent communicated directly with HL and ST regarding the shipment; 4) Broadpeak identified Respondent as the U.S.-side handling party; 5) requested or directed payment; 6) participated in release and delivery coordination after the shipment’s arrival in the U.S.; and 7) took positions regarding whether and how the shipment would be handled, including threatening to discontinue involvement. (Claimant’s RFI Responses, at 18-19). I agree with Claimant that the record shows that Respondent performed these actions. I do not agree that these actions make Respondent an

OTI for purposes of the transportation at issue. The actions Claimant points to are limited to moving the container after it already arrived in the United States. The record lacks evidence showing that Respondent assumed responsibility for the transportation “from the port of point of receipt to the port or point of destination.” In other words, nothing shows that Respondent was responsible for moving the container from Pakistan to the United States. To the contrary, the record shows that there was another company to whom Claimant “entrusted the work to.”⁷ (FOF, ¶ 19). Thus, it appears that Respondent was a destination agent.

The facts in this case are similar to the alleged facts in *Phillip Marciano LLC v. U.S. Cargo Servs, Inc.*, Dkt. No. 25-11, 2025 WL 3732714 (ALJ Dec. 16, 2025) (notice not to review Jan. 16, 2026), where the ALJ granted a motion to dismiss. There, in relevant part, the ALJ concluded that the complaint did not plausibly allege that the respondent “assumed responsibility” for the delivery of the container.

Specifically, the complaint alleges that for these shipments, at most, US Cargo was a delivery agent or consignee, responsible to receive the cargo, aid in U.S. customs clearance, and coordinate and complete delivery. . . . This does not amount to a plausible allegation that US Cargo assumed responsibility for the cargo throughout its journey. And merely acting as a consignee or delivery agent, without more, is not enough to make an entity an NVOCC.

(*Phillip Marciano LLC*, 2025 WL 3732714, at *8).

For these reasons, I find that Claimant has not carried her burden of demonstrating that Respondent is a regulated entity for purposes of the transportation at issue. Accordingly, the Claim is **DENIED** and **DISMISSED**.

As this finding is dispositive, I do not discuss any other elements of any of the Shipping Act violations alleged in the Claim.

⁷ Claimant suggests that Broadpeak and Respondent reflects a “structured operational relationship rather than an arm’s-length subcontracting arrangement” because: one of Broadpeak’s employees used to work for Respondent, Broadpeak’s employee referred to Respondent’s employee by name, Broadpeak made payment to Respondent in connection with the transaction, and Respondent and Broadpeak have an office in the same city in Pakistan. (Claimant’s RFI Response, at 8-9). It is unclear if Claimant is suggesting that Broadpeak and Respondent are “alter-egos” or that the corporate veil should be pierced, although Claimant seems to suggest that it does not make such an argument. (See Claimant’s RFI Replies, at 3). Regardless, Claimant makes no allegation, nor points to any evidence, that suggests that either Broadpeak or Respondent is a mere sham business, or that either is using its business form to commit statutory violations. Nor is there any reason to think either Broadpeak or Respondent is merely a shell business based on the record. (See, e.g., *YSN Imports, Inc. d/b/a Flame King v. Oberlander*, Dkt. No. 21-02, 2021 WL 2935838, at *5-6 (FMC Jun. 21, 2016) (identifying factors in analyzing whether corporate formalities should be set aside)).

V. CONCLUSION

For the reasons discussed above, I find that Claimant has not carried its burden of demonstrating that Respondent is a regulated entity for purposes of the transportation at issue. Therefore, it is **HEREBY ORDERED** that Claimant's Claim is **DENIED** and **DISMISSED**. It is

FURTHER ORDERED that this matter is **DISCONTINUED**.

SO ORDERED

Richard C. Ambrow Jr -S

Richard Ambrow
Small Claims Officer